

**SUBSTITUTE FOR
SENATE BILL NO. 936**

A bill to amend 1961 PA 236, entitled
"Revised judicature act of 1961,"
by amending sections 5775, 5777, 5779, and 5783 (MCL 600.5775,
600.5777, 600.5779, and 600.5783), as added by 1988 PA 336; and to
repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 5775. (1) The tenancy of a tenant in a mobile home park
2 ~~shall~~**must** not be terminated unless there is just cause for the
3 termination.

4 (2) For the purpose of this chapter, "just cause" means 1 or
5 more of the following:

6 (a) Use of a mobile home site by the tenant for an unlawful
7 purpose.



(b) Failure by the tenant to comply with a lease or agreement by which the tenant holds the premises or with a rule or regulation of the mobile home park, adopted ~~pursuant to~~ **under** the lease or agreement, which rule or regulation is reasonably related to any of the following:

(i) The health, safety, or welfare of the mobile home park, its employees, or tenants.

(ii) The quiet enjoyment of the other tenants of the mobile home park.

(iii) Maintaining the physical condition or appearance of the mobile home park or the mobile homes located in the mobile home park to protect the value of the mobile home park or to maintain its aesthetic quality or appearance.

(c) A violation by the tenant of rules promulgated by the ~~Michigan department of public health~~ **environment, Great Lakes, and energy** under section 6 of the mobile home commission act, ~~Act No. 96 of the Public Acts of 1987, being section 125.2306 of the Michigan Compiled Laws.~~ **1987 PA 96, MCL 125.2306.**

(d) Intentional physical injury by the tenant to the personnel or other tenants of the mobile home park, or intentional physical damage by the tenant to the property of the mobile home park or of its other tenants.

(e) Failure of the tenant to comply with a local ordinance, state law, or governmental rule or regulation relating to mobile homes.

(f) Failure of the tenant to make timely payment of rent or other charges under the lease or rental agreement by which the tenant holds the premises on 3 or more occasions during any 12-month period, for which failure the owner ~~or operator~~ **of the mobile**



1 **home park** has served a written demand for possession for nonpayment
 2 of rent ~~pursuant to~~ **under** section 5714(1) (a) and the tenant has
 3 failed or refused to pay the rent or other charges within the time
 4 period stated in the written demand for possession. The written
 5 demand for possession ~~shall~~ **must** provide a notice to the tenant in
 6 substantially the following form: "Notice: Three or more late
 7 payments of rent during any 12-month period is just cause to evict
 8 you." Nothing in this subdivision ~~shall prohibit~~ **prohibits** a tenant
 9 from asserting, and the court from considering, any meritorious
 10 defenses to late payment of rent or other charges.

11 (g) Conduct by the tenant ~~upon~~ **on** the mobile home park
 12 premises ~~which~~ **that** constitutes a substantial annoyance to other
 13 tenants or to the mobile home park, after notice and an opportunity
 14 to cure.

15 (h) Failure of the tenant to maintain the mobile home or
 16 mobile home site in a reasonable condition consistent with
 17 aesthetics appropriate to the **mobile home** park.

18 (i) Condemnation of the mobile home park.

19 (j) Changes in the use or substantive nature of the mobile
 20 home park.

21 (k) Public health and safety violations by the tenant.

22 (3) This section does not prohibit a change of the rental
 23 payments or the terms or conditions of tenancy in a mobile home
 24 park following the termination or expiration of a written lease
 25 agreement for the mobile home site.

26 Sec. 5777. Within 10 days of service of a demand for
 27 possession of premises for just cause, a tenant in a mobile home
 28 park ~~shall have~~ **has** the right to request, by certified or
 29 registered mail to the owner ~~or operator~~ of the mobile home park at



1 the address ~~set forth~~**listed** in the demand, an in-person conference
 2 with the owner ~~or operator~~ of the mobile home park or
 3 representative of the owner ~~or operator~~**of the mobile home park**.

4 If timely requested, the conference ~~shall~~**must** be held at the
 5 mobile home park and at a time and date established by the owner ~~or~~
 6 ~~operator~~**of the mobile home park** but not later than 20 days after
 7 the tenant's request. The tenant may be accompanied by counsel at
 8 the conference. Nothing in this section ~~shall affect~~**affects** the
 9 ~~owner's or operator's~~**owner of the mobile home park's** right to
 10 commence summary proceedings ~~pursuant to the~~ demand for possession.

11 Sec. 5779. In every action to terminate a tenancy in a mobile
 12 home park for just cause, the tenant shall continue to pay all rent
 13 and other charges to the owner ~~or operator~~**of the mobile home park**
 14 when due following the demand for possession of the premises and
 15 during the pendency of the action, and the owner ~~or operator~~**of the**
 16 **mobile home park** may accept all ~~such~~ payments of rent and other
 17 charges without prejudice to the action to evict the tenant for
 18 just cause. If ~~such a~~ payment **of rent or other charges** is not
 19 timely paid, the owner ~~or operator~~**of the mobile home park** may
 20 proceed under section 5714(1)(a) without prejudice to the
 21 maintenance of the just cause termination action.

22 Sec. 5783. **(1)** Every judgment for possession resulting from an
 23 action to terminate a tenancy in a mobile home park for just cause
 24 **under this chapter or to recover possession of premises under**
 25 **chapter 57** shall ~~set forth~~**provide for** the right of a tenant to
 26 ~~sell a mobile home on site, the conditions of that right, and the~~
 27 ~~consequences of a tenant's failure to meet those conditions, all as~~
 28 ~~prescribed in section 5781.~~**choose from any of the following options**
 29 **regarding the tenant's mobile home within 15 days after the**



1 judgment of possession was entered:

2 (a) The court appointing a qualified and unbiased agent to
3 sell the mobile home.

4 (b) The tenant selling the mobile home on-site in accordance
5 with subsection (3).

6 (c) The tenant moving the mobile home out of the mobile home
7 park in accordance with subsection (3).

8 (d) The tenant signing over the title to the tenant's mobile
9 home to the owner of the mobile home park.

10 (e) The court issuing an order of sale directing the sheriff
11 or court officer appointed by the court that issues the order under
12 this subdivision to advertise and sell the mobile home as is to the
13 highest cash bidder.

14 (2) Within 5 days after the issuance of a judgment of
15 possession resulting from an action to terminate a tenancy in a
16 mobile home park for just cause under this chapter or to recover
17 possession of premises under chapter 57, the owner of the mobile
18 home park shall provide to the court and tenant the criteria used
19 to accept and reject a proposed tenant's application for tenancy.

20 (3) A tenant that elects under subsection (1)(b) to sell the
21 tenant's mobile home on-site, as provided under sections 28(1)(h)
22 and 28a of the mobile home commission act, 1987 PA 96, MCL 125.2328
23 and 125.2328a, or to move the tenant's mobile home under subsection
24 1(c) is subject to all of the following conditions:

25 (a) The tenant shall sell or move the mobile home within 90
26 days after the date of the judgment of possession, except that the
27 time period must be extended to 90 days after the owner of the
28 mobile home park denies tenancy to a person making a bona fide
29 offer to purchase the mobile home within the 90-day period or any



1 proper extension of the time period under this subdivision.

2 (b) The tenant shall timely pay all rent and other charges for
3 the mobile home site during the 90-day period or any proper
4 extension of the time period under subdivision (a). Failure to
5 timely pay all rent or other charges entitles the owner of the
6 mobile home park to seek an immediate writ of restitution. As used
7 in this subdivision, "rent and other charges" does not include
8 liquidated damages awarded under section 5785.

9 (c) On the expiration of 10 days after the date of the
10 judgment of possession, the owner of the mobile home park may
11 disconnect all mobile-home-park-supplied utility services.

12 (d) Within 10 days after the date of the judgment of
13 possession, if the date of the judgment of possession falls between
14 November 1 and March 31, or otherwise within 10 days after the next
15 November 1, the tenant shall provide the owner of the mobile home
16 park with proof that the mobile home has been properly winterized
17 by a licensed mobile home installer and repairer. Failure to timely
18 provide the proof of winterization entitles the owner of the mobile
19 home park to seek an immediate writ of restitution.

20 (e) The tenant shall continue to maintain the mobile home and
21 mobile home site in accordance with the rules and regulations of
22 the mobile home park.

23 (f) The mobile home park must provide the tenant with
24 reasonable access to the mobile home and the mobile home site for
25 the purposes of maintaining the mobile home and mobile home site
26 and selling the mobile home.

27 (4) If a tenant elects under subsection (1)(b) or (c) to sell
28 or move the tenant's mobile home but does not sell or move the
29 mobile home park within the time period specified under subsection

(3) and fails to comply with the conditions under subsection (3), the court shall do any of the following:

(a) Appoint an agent to sell the mobile home.

(b) Issue an order of sale directing the sheriff or court officer appointed by the court that issues the order under this subdivision to advertise and sell the mobile home as is to the highest cash bidder.

(c) Award the title of the mobile home to the owner of the mobile home park.

(5) If a tenant does not make any election under subsection (1) regarding the tenant's mobile home within the 15-day period, the court shall issue an order awarding the title of the mobile home to the owner of the mobile home park.

(6) If a mobile home is sold in accordance with this section, the tenant is entitled to the proceeds of the sale less any indebtedness to the mobile home park and lienholders if the mobile home is encumbered by a lien. If this subsection applies, all liens on the mobile home and any indebtedness to the mobile home park are extinguished.

(7) If title is transferred to the mobile home park under subsection (1)(d), (4)(c), or (5), the tenant is entitled to the value of the mobile home at the time of transfer less any indebtedness to the mobile home park and lienholders if the mobile home is encumbered by a lien. If this subsection applies, all liens on the mobile home and any indebtedness to the mobile home park are extinguished. The right is extinguished within 180 days of transfer if unclaimed.

(8) A court that issues a judgment of possession under this section retains jurisdiction of the action and shall issue



1 subsequent orders to enforce this section until the tenant's mobile
2 home is sold or removed from the mobile home park. This subsection
3 is subject to the tenant's right to appeal the judgment of
4 possession.

5 Enacting section 1. Section 5781 of the revised judicature act
6 of 1961, 1961 PA 236, MCL 600.5781, is repealed.

7 Enacting section 2. This amendatory act does not take effect
8 unless all of the following bills of the 103rd Legislature are
9 enacted into law:

10 (a) Senate Bill No. 934.

11 (b) Senate Bill No. 935.

12 (c) Senate Bill No. 937.

